Seller Note Anatomy

Property: _____ **Date:** _____

Part F: Decide and structure.

Takes in: AS-21 (what the seller fears).

Hands to: AS-07 (the offer).

A seller note makes the seller your lender. It can bridge the gap between the ask and the evidence, and it can blow up the deal in year five. Understand every term on this page before you propose a single one. This page teaches the vocabulary, not the law. Your attorney drafts or reviews every note.

1. The terms that matter

- [ ] Principal: the amount the seller finances. Every dollar here is a dollar you do not borrow from the bank.
- [ ] Interest rate: fixed, written as a number. "A fair rate" is not a term.
- [ ] Amortization: the schedule the payment is calculated on (20, 25, 30 years). Longer amortization means a smaller payment and a bigger balloon.
- [ ] Balloon date: the day the remaining balance comes due in full. Write the date, not "in five years."
- [ ] Payment day, late fee, prepayment: when it is due, what late costs, and whether you can pay early without penalty.
- [ ] Sale or refinance: due-on-sale language, in plain words. Know what happens if you sell before the note is paid.

2. Security: what the seller holds

The note is secured by a deed of trust or mortgage against the park. Security instruments and foreclosure rules vary by state. Confirm with your attorney.

- [ ] Position: first, or second behind the bank loan. Second position means the bank gets paid first in a foreclosure.
- [ ] Personal guarantee: does the seller get your signature beyond the property? Know before you sign.

3. Subordination: the word that scares sellers

Subordination means the seller agrees to stand behind another lender. If the bank forecloses, a subordinated seller can lose everything. Sellers fear this word because they should. Never ask a seller to subordinate without your attorney in the room and a written explanation the seller keeps.

Front continues on page 2: balloon risk, default and cure, what sellers fear, and the attorney line.

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4. Balloon risk: the refinance plan is dated before you sign

Most seller notes balloon in 3 to 7 years. The balloon is a second closing you must survive. Before you sign, write the refinance plan: who refinances it, at what loan-to-value, and what has to be true about the park's income by then.

Balloon amount ($): _____ **Balloon date:** _____ **Refinance source:** _____

What must be true about NOI by the balloon date: _____

5. Default and cure

- ☐ Default triggers: missed payment, broken covenant, sale without consent. Listed, not implied.
- ☐ Cure period: how many days you get to fix a default before remedies start. In writing.
- ☐ Remedies: what the seller can do after an uncured default. Read them before you need them.

6. What sellers fear, and how the paper answers it

Seller fear	How the paper answers it
"I'll never see my money."	Recorded security, automatic payment, annual statements
"You'll wreck the park."	Maintenance and insurance covenants, inspection rights
"You'll flip it and leave me holding paper."	Due-on-sale clause, no assumption without consent
"The bank takes everything first."	Honest position disclosure; never hide junior status

Answer the fear in the paper, not in the pitch. If it is not written, it was not promised.

7. The attorney line

This page is vocabulary. Notes, security instruments, foreclosure, and tax treatment vary by state and by deal. Your attorney drafts or reviews every note before anyone signs.

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Worked example: Maple Bend Estates (fictional)

Fictional note on a fictional park. Seeds: ask $1,650,000. This is the alternate to AS-16's 70% LTV bank-only structure: fictional price $925,000, fictional bank loan $508,750, fictional seller note $150,000. All derived numbers show their math.

Term	This note (fictional)
Principal	$150,000
Interest rate	6% fixed, interest-only
Amortization	n/a (payment covers interest only)
Balloon	Month 84 (year 7)
Monthly payment	$750 ($9,000 a year)
Payment day	1st of the month
Prepayment	No penalty (fictional)
Security	Second position behind the bank loan, disclosed in writing
Cure period	30 days (fictional)

The debt stack, checked

Seller note payment: 150,000 x 0.06 = $9,000 a year, $750 a month.

Bank loan: $508,750 at 7.5% over 25 years, $45,115 a year ($3,759.62 a month). Buyer cash for the price: 925,000 - 508,750 - 150,000 = $266,250. Check: 508,750 + 150,000 + 266,250 = 925,000.

Total annual debt service: 45,115 + 9,000 = $54,115. DSCR on normalized NOI: 76,470 / 54,115 = 1.41x. On lender NOI: 69,470 / 54,115 = 1.28x, clearing the 1.25x rule of thumb, verify locally.

Against the bank-only structure (AS-16): lender DSCR 1.21x vs 1.28x with the seller note. The note buys the coverage the bank-only structure lacks.

Stress, occupancy down 15 points: NOI $44,202; 44,202 / 54,115 = 0.82x. Stress, rate up 100 basis points on the bank loan: total debt service $58,159; 76,470 / 58,159 = 1.31x.

Monthly cash cushion: collections 15,750 - operating 9,377.50 - debt service 4,509.62 = $1,862.88.

Combined leverage: (508,750 + 150,000) / 925,000 = 71.2%. The note is 150,000 / 925,000 = 16.2% of the price.

The balloon, checked at month 84

Bank balance at month 84: about $444,939. Balloon: $150,000. Total to refinance: about $594,939.

Flat NOI, no growth assumed: value at 8% = 76,470 / 0.08 = $955,875. A 70% refinance = $669,113, which covers the $594,939 with about $74,174 to spare (62.2% LTV needed). The balloon passes without assuming any growth.

Default and cure, lined up

The 30-day cure period (fictional) covers the note; the bank loan has its own. The note defaults if the bank loan accelerates. Your attorney lines the two defaults and the cure windows up before anyone signs.

A seller fear, answered in the paper

Fear: "You'll wreck the park." Answer in the note: maintenance covenant, insurance covenant, and the seller's annual inspection right. Written, not pitched.

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The Doctrine

The belief this page shatters is that a seller note is a favor the seller does you. A seller note is a second lender with feelings, and feelings do not foreclose, paper does. The seller who carries paper is trusting you with their retirement, and the paper is where that trust gets its terms. Buyers who propose notes they do not understand are asking a stranger to gamble on their competence. The one rule: if you cannot explain every term, the balloon, and the cure to the seller across a kitchen table, you are not ready to propose it. The rite of passage is the first note you explain line by line, where the seller signs because they understood, not because they trusted. Paper first, trust second. Your attorney reviews every note. Vocabulary here, law there.

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